

Directors & Key Managerial Personnel

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Lite — Quick Review (1h-1d)

Rapid summary for last-minute revision before your exam.

A Director (Section 2(34), Companies Act, 2013) is a person appointed to the Board of Directors to direct the company's affairs. Key Managerial Personnel (KMP) under Section 2(51) is a narrower class: MD/WTD/Manager, CEO, CFO, and Company Secretary. The two categories overlap but are not identical — most ordinary non-executive directors are not KMP.

- Minimum directors: Public = 3, Private = 2, One Person Company = 1 (Section 149(1)).
- Maximum directors: 15, raisable only by Special Resolution (Section 149(1) proviso).
- Section 203 companies (paid-up capital $\geq$ ₹10 crore OR turnover $\geq$ ₹100 crore OR borrowings/deposits $>$ ₹50 crore) must appoint all KMP — penalty under Section 203(5).
- Every director needs a DIN (Section 153, filed via DIR-3/DIR-3C) and a DSC.

High-Yield Memory Hook: "D-K-M-R" — recall the four statutory Director counts as D=3/2/1 (min), K=15 (max), M=11%/13% (managerial remuneration cap), R=Special Resolution for raising any of the above. One mnemonic handles every threshold MCQ.

Standard — Regular Study (2d-2mo)

Standard content for students with a few days to months.

Core Definitions and Statutory Anchors

The Companies Act, 2013 deliberately separates "Director" from "KMP". A Director (Section 2(34)) is any person occupying the position of director, including deemed and shadow directors. KMP (Section 2(51)) is the executive accountability layer: MD/WTD/Manager, CEO, CFO, and CS. A listed public company or a public company meeting the Section 203 thresholds must appoint every category of KMP; the CS is mandatory only in companies with paid-up capital of $\geq$ ₹5 crore.

Director vs KMP — Concept Comparison Matrix

Feature	Director (S. 2(34))	KMP (S. 2(51))
Who qualifies	Any person appointed to the Board	MD/WTD/Manager, CEO, CFO, CS only
Mandatory appointment	All companies — min. 3/2/1 by type	Only Section 203 threshold companies
Tenure governed by	S. 149, 152, 161	S. 203 (whole-time employment contract)
Default on duty	"Officer who is in default" (S. 2(60)) may apply	Always an officer who is in default
DIN required	Yes	Yes
Remuneration cap	Sitting fees + commission within 11%	Section 197 — 11%/13% of net profits

Appointment, Qualifications and DIN

- DIN (Director Identification Number) is allotted on application in DIR-3 (new DIN) or DIR-3C (changes), and a maximum of one DIN is permitted per person (Section 153). Every director must intimate changes within 30 days using DIR-3 KYC.
- Independent Directors are required by listed companies and prescribed public companies to constitute at least 1/3 of total Board strength (Section 149(4)). Tenure: up to two consecutive terms of 5 years each (Section 149(10)-(11)), with a 5-year cooling-off before re-appointment.

- Woman Director is compulsory in every listed company and in public companies with paid-up capital $\geq$ ₹100 crore or turnover $\geq$ ₹300 crore (Section 149(1) read with Rule 3 of the Appointment and Qualification Rules, 2014).

Disqualification vs Vacation of Office

Section 164 disqualifications include: unsound mind court order, undischarged insolvent, offence conviction involving ≥ 6 months imprisonment, absent from all Board meetings for 12 months (now relaxed for foreign directors by MCA notification), and deactivated DIN (Rule 14). Section 167 effects automatic vacation of office on the same triggers — once a Section 164 ground crystallises, the director vacates without further action by the company. The Central Government's removal procedure (Section 169) is distinct and applies to non-rotational directors.

Remuneration and Sitting Fees

The overall managerial remuneration cap is 11% of net profits where there is one MD/WTM/Manager (Section 197(1), first proviso). The cap rises to 13% by Special Resolution if there is no MD/WTM/Manager, and Schedule XIII/XI of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 governs inadequate-profits approval. Sitting fees are payable only to non-executive directors (excluding MD/WTM/Manager) and, under Rule 4 as amended, must not exceed ₹1,00,000 per meeting of the Board or any committee; Central Government approval is required where profits are inadequate.

Exam-Level Worked Problem

Question: Starline India Pvt. Ltd. has paid-up share capital of ₹12 crore and turnover of ₹95 crore in FY 2024-25. It has 14 directors, of whom one is an Independent Director, no woman director, no CS, and the MD doubles as CFO. Examine each compliance failure and state the consequence.

Step-by-Step Solution:

Section 203 trigger: Paid-up capital ₹12 crore ($\geq$ ₹10 crore) KMP appointment is mandatory. Missing CS and missing CFO violation of Section 203(1) — fine of ₹50,000 to ₹5 lakh on the company and every officer in default (Section 203(5)).

Maximum directors: 14 directors is within the 15 ceiling — no breach. (Note: a 16th director would need a Special Resolution.)

Independent Director: Starline is a private company Section 149(4) requirement applies only to listed companies and the prescribed classes of public companies. No breach unless notified.

Woman Director: Applies to listed companies and public companies with paid-up capital $\geq$ ₹100 crore or turnover $\geq$ ₹300 crore. Starline is private — no statutory obligation, but Rule 3 must still be checked on conversion.

Examiner Trap: Students routinely flag the "missing Independent Director" as a violation in every company. Independent Directors are compulsory only for listed companies and the notified public-company classes — for a private company, Section 149(4) does not bite. Always read the company type before applying the Independent Director rule.

Extended — Deep Study (3mo+)

Comprehensive coverage for students on a longer study timeline.

Edge Cases and Adjacent Topic Links

- Holding-Subsidiary KMP disclosures: Under Section 203, every listed company and the Section 203 threshold company must disclose KMP details in the Board's Report (Annexure-1 of Board's Report

under Rule 8 of Companies (Accounts) Rules). The same KMP can be shared between a holding and wholly-owned subsidiary (Section 203(1) Explanation).

- One Person Company peculiarity: The sole member can be the sole director, but the OPC must mandatorily nominate a nominee (Section 3(1)); if the nominee becomes the member on the death of the sole member, he/she must appoint a director within 6 months.
- Section 165 dual-directorship cap: A person cannot hold MD/WTD/Manager office in more than one listed company at a time (Section 165(1)); the count of directorships in other companies (public, private, foreign, Section 8) is capped at 20 (Rule 17 of the 2014 Rules, as amended) and audit committee chairmanships at 7 listed companies (Section 165(1) proviso).
- Related Party Transactions (Section 188): Require Special Resolution where the company is listed or where the prescribed persons (relatives, KMP, holding/subsidiary/associate concerns) are directors; ordinary resolutions suffice otherwise, and arm's-length transactions with private companies on ordinary commercial terms are exempted under Rule 15.
- Officer who is in default (Section 2(60)): Where a contravention occurs by a company, every director in default is liable unless he proves he was not aware or that he objected in writing. KMPs automatically fall within this expression for Section 203 defaults, distinguishing them from non-executive directors.

Advanced Traps Table

Trap	Why it catches students	Correct position
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Citing Section 2(60) as the definition of KMP	"Officer who is in default" looks similar to KMP	KMP is S. 2(51); S. 2(60) defines who is liable for contraventions
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Maximum directors = 12	Older Companies Act, 1956 ceiling	Section 149(1) sets ceiling at 15 (2013 Act)
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Independent Director serves "only 5 years"	Missing re-appointment clause	Two consecutive 5-year terms allowed with cooling-off (S. 149(10)/(11))
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Sitting fees within remuneration cap	Conflates fees with commission	Sitting fees are outside the 11%/13% remuneration ceiling (Rule 4)
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DIN deactivation is a Section 164 ground	Treating it as a standalone disqualification	Rule 14 deactivation = disqualification under S. 164(2)(a) read with S. 164(1)
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Two Practice Prompts for Self-Assessment

A listed company has 16 directors approved by an Ordinary Resolution at the AGM. State (a) the statutory breach, (b) the curative action, and (c) the liability of the officer in default. (Hint: revisit Section 149(1) proviso and Section 2(60).)

The MD of a Section 203 company draws ₹2 crore remuneration. Net profits for the year are ₹15 crore. Compute the maximum permissible remuneration and the resolution required to absorb the excess, citing the relevant rule. (Hint: 11% ceiling + Schedule XI threshold and Section 197/Schedule XIII.)

Continue your study

- View this topic in your CS Executive roadmap — see where "Directors & Key Managerial Personnel" fits in your personalised plan
- Build a quick revision plan — 1-day sprint covering highest-weight topics
- CS Executive exam overview — pattern, eligibility, and syllabus
- All Company Law notes — browse sibling topics in this subject

Content adapted based on your selected roadmap duration. Switch tiers using the selector above.